gradually gaining an increasingly prominent position in China's strategy. In this section, I outline how shifts in the international balance of power, changing priorities on wealth and power in Beijing, the emergence of a new Chinese geostrategy, and continued border disputes in various ways explain the growing importance of India in Beijing's strategy and how this informs China's policies on India.

Power, wealth, and the balance of power

The figures in Table 2.1 shows a dramatic shift in the international balance of power over the last couple of decades, with China challenging the hegemonic position of the United States. Beijing's overall level of defence spending still lags behind that of the United States and will almost certainly do so for some time to come both in absolute terms and as a share of GDP.[85] Nevertheless, the PLA is undergoing the most comprehensive restructuring in its history to become a force capable of conducting complex joint operations,[86] and there is a growing concern in the United States about China's military capabilities. The 2017 United States National Security Strategy described China as a competitor willing to undermine US interests.[87]

In peacetime, changes in the international balance of power are usually a gradual process. It follows from this that changes in strategy and policy will also be gradual and often change only as the result of perceptual shocks in the form of one or several events suddenly making decision-makers aware of the effects of the gradual long-term power trends.[88] The collapse of the Soviet Union brought about an abrupt change in the balance of power, while China's rise, on the other hand, has been gradual. Nonetheless, China's relative success in keeping its economy rolling during the global financial crisis in 2008–10, and China's GDP surpassing that of Japan's in 2010 (see Table 2.1), may have contributed to